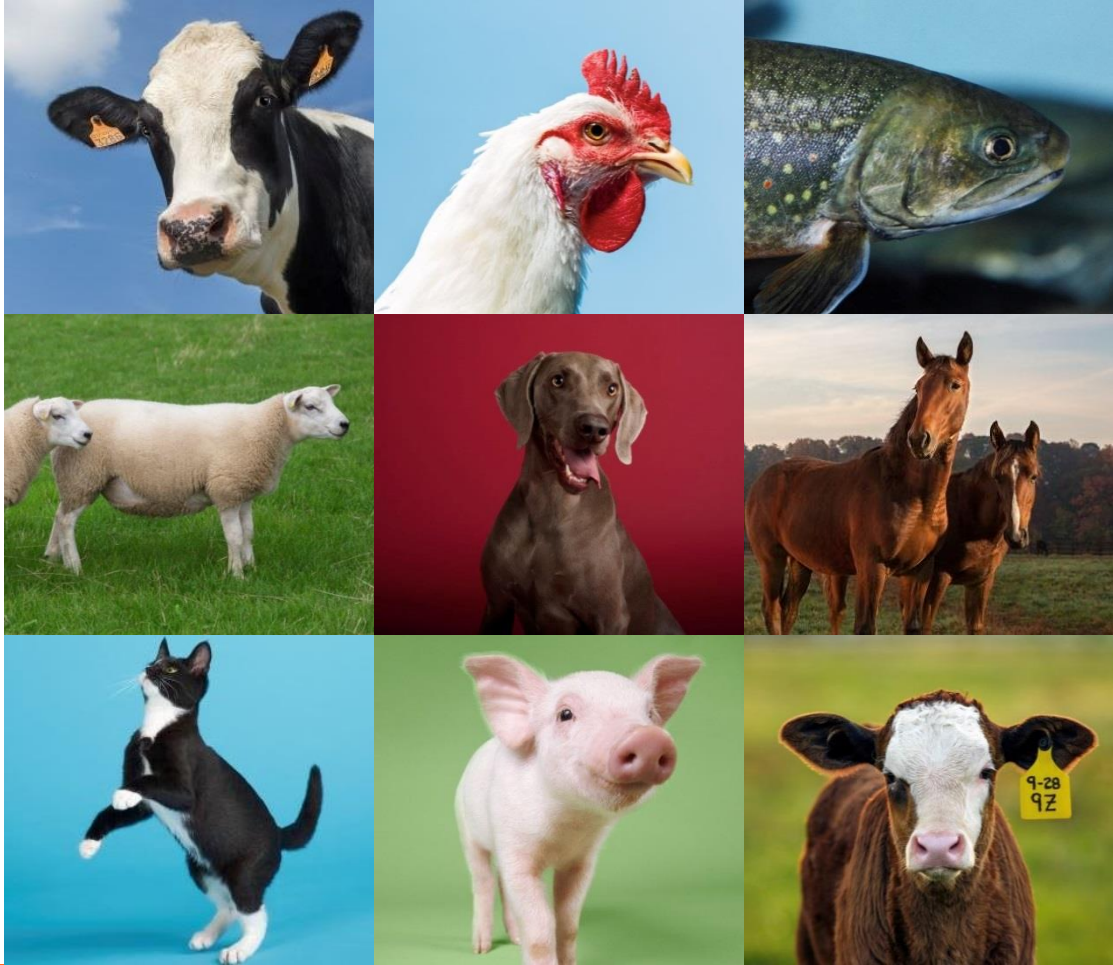


FOURTH QUARTER AND FULL YEAR 2016 FINANCIAL RESULTS

February 16, 2017



zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2015, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, operational results (which excludes the impact of foreign exchange), and normalized results (which exclude the impact from foreign exchange, operational efficiency initiative, differences in calendar days, and acquisitions) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FULL YEAR 2016 RESULTS

- Achieved fourth consecutive year of operational¹ revenue growth and improved profitability since IPO
- New product launches and diverse portfolio helped overcome challenging market conditions, product rationalizations and other business changes
- Delivered revenue and adjusted EPS² at high end of 2016 guidance
- Generated more than 200 product approvals in 2016 to ensure future growth

WELL-POSITIONED FOR LONG TERM PROFITABLE GROWTH

- On target to realize full benefit of operational efficiency initiative in 2017
- Allocating resources and investments to support key growth opportunities
- Updated full year 2017 guidance to account for changes in foreign exchange rates since November

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted Earnings Per Share (EPS) (non-GAAP financial measures) is defined as reported U.S. generally accepted accounting principles (GAAP) EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items

GLENN DAVID CHIEF FINANCIAL OFFICER

FULL YEAR 2016 RESULTS VS. GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2016 FULL YEAR RESULTS	NOVEMBER 2, 2016 GUIDANCE
Revenue	\$4,888	\$4,850 to \$4,900
<i>Operational growth¹</i>	5%	4% to 5%
Adjusted cost of sales as a percentage of revenue ²	33.2%	32.5% to 33%
Adjusted SG&A expenses ²	\$1,312	\$1,305 to \$1,330
Adjusted R&D expenses ²	\$374	\$365 to \$375
Adjusted interest expense and other (income) / deductions ²	\$174	Approximately \$165
Adjusted EBIT margin ²	31.6%	Approximately 32%
Effective tax rate on adjusted income ²	29.9%	Approximately 32%
Adjusted diluted EPS ²	\$1.96	\$1.91 to \$1.96
Adjusted net income ²	\$975	\$955 to \$980
<i>Operational growth^{1,3}</i>	17%	12% to 15%
Certain significant items ⁴ and acquisition-related costs	\$61	\$30 to \$50
Reported diluted EPS	\$1.65	\$1.66 to \$1.75

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted Earnings Before Interest and Taxes (EBIT) excludes interest expense net of capitalized interest, interest income and adjusted income taxes. In 2016, interest income was \$8 million.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to restructuring, net gains/losses on sales of assets, and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as the creation of standalone systems and infrastructure, site separation, new branding (including changes to the manufacturing process for required new packaging), and certain legal registration and patent assignment costs



INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter		
	2016*	2015*	Change
Revenue	\$1,277	\$1,274	-
Reported Net Income	154	22	**
Reported Diluted Earnings Per Share	\$0.31	\$0.04	**
Adjusted Net Income ¹	232	214	8%
Adjusted Diluted EPS ¹	\$0.47	\$0.43	9%

* Millions of dollars, except per share data

** Calculation not meaningful

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

INCOME STATEMENT HIGHLIGHTS

	Full Year		
	2016*	2015*	Change
Revenue	\$4,888	\$4,765	3%
Reported Net Income	821	339	**
Reported Diluted Earnings Per Share	\$1.65	\$0.68	**
Adjusted Net Income ¹	975	889	10%
Adjusted Diluted EPS ¹	\$1.96	\$1.77	11%

* Millions of dollars, except per share data

** Calculation not meaningful

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ²
Revenue	\$1,277	\$1,274	-	-	-
Adjusted Cost of Sales ¹	455	467	(3)%	(5)%	2%
<i>as a percent of revenue</i>	35.6%	36.7%	NA	NA	NA
Adjusted SG&A Expenses ¹	348	390	(11)%	(1)%	(10)%
Adjusted R&D Expenses ¹	107	106	1%	1%	-
Effective Tax Rate on Adjusted Income ¹	25.2%	24.6%	NA	NA	NA
Adjusted Net Income ¹	232	214	8%	(5)%	13%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Full Year				
	2016*	2015*	Change	Foreign Exchange	Operational ²
Revenue	\$4,888	\$4,765	3%	(2)%	5%
Adjusted Cost of Sales ¹	1,624	1,667	(3)%	(3)%	-
<i>as a percent of revenue</i>	33.2%	35.0%	NA	NA	NA
Adjusted SG&A Expenses ¹	1,312	1,399	(6)%	(2)%	(4)%
Adjusted R&D Expenses ¹	374	360	4%	(1)%	5%
Effective Tax Rate on Adjusted Income ¹	29.9%	26.8%	NA	NA	NA
Adjusted Net Income ¹	975	889	10%	(7)%	17%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE

	Fourth Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$631	\$636	(1)%	-	(1)%
Livestock	336	348	(3)%	-	(3)%
Companion Animal	295	288	2%	-	2%
Cost of Sales	149	152	(2)%	-	(2)%
Gross Profit	482	484	-	-	-
<i>Gross Margin</i>	76.4%	76.1%	NA	-	NA
Operating Expenses	95	115	(17)%	-	(17)%
Other (Income)/Deductions	-	(1)	(100)%	-	(100)%
Earnings ²	387	370	5%	-	5%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Fourth Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$636	\$624	2%	-	2%
Livestock	454	455	-	1%	(1)%
Companion Animal	182	169	8%	(2)%	10%
Cost of Sales	235	235	-	(1)%	1%
Gross Profit	401	389	3%	-	3%
<i>Gross Margin</i>	63.1%	62.3%	NA	NA	NA
Operating Expenses	140	147	(5)%	(1)%	(4)%
Other (Income)/Deductions	(1)	(8)	(88)%	(84)%	(4)%
Earnings ²	262	250	5%	(1)%	6%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income



INTERNATIONAL MARKET REVENUE

	Fourth Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Total International	\$636	\$624	2%	-	2%
Australia	38	35	9%	8%	1%
Brazil	83	65	28%	20%	8%
Canada	53	55	(4)%	(3)%	(1)%
China	32	29	10%	(7)%	17%
France	28	31	(10)%	-	(10)%
Germany	35	34	3%	1%	2%
Italy	20	24	(17)%	-	(17)%
Japan	31	26	19%	15%	4%
Mexico	20	20	-	(13)%	13%
Spain	20	26	(23)%	(3)%	(20)%
United Kingdom	39	46	(15)%	(19)%	4%
Other Developed	79	77	3%	3%	-
Other Emerging	158	156	1%	(5)%	6%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

	Full Year				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$2,447	\$2,328	5%	-	5%
Livestock	1,227	1,251	(2)%	-	(2)%
Companion Animal	1,220	1,077	13%	-	13%
Cost of Sales	551	551	-	-	-
Gross Profit	1,896	1,777	7%	-	7%
<i>Gross Margin</i>	77.5%	76.3%	NA	-	NA
Operating Expenses	388	389	-	-	-
Other (Income)/Deductions	-	(2)	(100)%	-	(100)%
Earnings ²	1,508	1,390	8%	-	8%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Full Year				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$2,390	\$2,386	-	(5)%	5%
Livestock	1,654	1,707	(3)%	(6)%	3%
Companion Animal	736	679	8%	(5)%	13%
Cost of Sales	833	873	(5)%	(7)%	2%
Gross Profit	1,557	1,513	3%	(5)%	8%
<i>Gross Margin</i>	65.1%	63.4%	NA	NA	NA
Operating Expenses	501	570	(12)%	(4)%	(8)%
Other (Income)/Deductions	2	2	-	10%	(10)%
Earnings ²	1,054	941	12%	(5)%	17%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Full Year				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Total International	\$2,390	\$2,386	-	(5)%	5%
Australia	157	144	9%	(3)%	12%
Brazil	245	250	(2)%	(9)%	7%
Canada	173	172	1%	(5)%	6%
China	145	123	18%	(6)%	24%
France	117	108	8%	(2)%	10%
Germany	125	120	4%	(1)%	5%
Italy	83	90	(8)%	(1)%	(7)%
Japan	127	101	26%	11%	15%
Mexico	76	75	1%	(18)%	19%
Spain	82	86	(5)%	(2)%	(3)%
United Kingdom	151	168	(10)%	(11)%	1%
Other Developed	302	288	5%	(2)%	7%
Other Emerging	607	661	(8)%	(8)%	-

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

REPORTED TO NORMALIZED ORGANIC OPERATIONAL REVENUE GROWTH

UNDERSTANDING THE FOURTH QUARTER 2016 UNDERLYING GROWTH

	Reported Growth	Foreign Exchange	Operational Growth ¹	Operational Efficiency Initiative ²	Five Fewer Calendar Days	Normalized Operational Growth ³	M&A: PHARMAQ & Other	Normalized Organic Operational Growth ⁴
<u>Total Zoetis</u>	-	-	-	(3)%	(4)%	7%	2%	5%
Livestock	(2)%	-	(2)%	(4)%	(4)%	6%	3%	3%
Companion Animal	4%	(1)%	5%	(1)%	(4)%	10%	-	10%
<u>US</u>	(1)%	-	(1)%	(1)%	(5)%	5%	-	5%
Livestock	(3)%	-	(3)%	(2)%	(4)%	3%	-	3%
Companion Animal	2%	-	2%	-	(5)%	7%	-	7%
<u>International</u>	2%	-	2%	(5)%	(3)%	10%	4%	6%
Livestock	-	1%	(1)%	(6)%	(3)%	8%	6%	2%
Companion Animal	8%	(2)%	10%	(4)%	(2)%	16%	-	16%

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes product rationalizations, business model changes, and the impact of the Venezuela business reduction

³Normalized operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange, operational efficiency initiative, and differences in calendar days

⁴Normalized organic operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange, operational efficiency initiative, differences in calendar days, and acquisitions

REPORTED TO NORMALIZED ORGANIC OPERATIONAL REVENUE GROWTH

UNDERSTANDING THE FULL YEAR 2016 UNDERLYING GROWTH

	Reported Growth	Foreign Exchange	Operational Growth ¹	Operational Efficiency Initiative ²	Normalized Operational Growth ³	M&A: PHARMAQ & Other	Normalized Organic Operational Growth ⁴
<u>Total Zoetis</u>	3%	(2)%	5%	(5)%	10%	2%	8%
Livestock	(3)%	(4)%	1%	(6)%	7%	3%	4%
Companion Animal	11%	(2)%	13%	(2)%	15%	1%	14%
<u>US</u>	5%	-	5%	(2)%	7%	1%	6%
Livestock	(2)%	-	(2)%	(3)%	1%	-	1%
Companion Animal	13%	-	13%	(1)%	14%	1%	13%
<u>International</u>	-	(5)%	5%	(7)%	12%	4%	8%
Livestock	(3)%	(6)%	3%	(8)%	11%	6%	5%
Companion Animal	8%	(5)%	13%	(5)%	18%	1%	17%

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes product rationalizations, business model changes, and the impact of the Venezuela business reduction

³Normalized operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange and operational efficiency initiative

⁴Normalized organic operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange, operational efficiency initiative, and acquisitions

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2017
Revenue	\$5,100 to \$5,225
<i>Operational growth¹</i>	<i>5.5% to 7.5%</i>
Adjusted cost of sales as a percentage of revenue ²	32% to 33%
Adjusted SG&A expenses ²	\$1,265 to \$1,325
Adjusted R&D expenses ²	\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$160
Adjusted EBIT margin ²	34% to 35%
Effective tax rate on adjusted income ²	Approximately 30%
Adjusted diluted EPS ²	\$2.26 to \$2.36
Adjusted net income ²	\$1,120 to 1,170
<i>Operational growth^{1,3}</i>	<i>15% to 20%</i>
Certain significant items ⁴ and acquisition-related costs	\$30 to \$50
Reported diluted EPS	\$2.08 to \$2.20

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted Earnings before Interest and Taxes (EBIT) excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to restructuring, net gains/losses on sales of assets, and other charges for the operational efficiency initiative and supply network strategy

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$280
Operational efficiency initiative	\$305 to \$315
Supply network strategy	\$55 to \$65
Certain significant items and acquisition-related costs	\$640 to \$660

¹Excludes non-cash charges of \$57 million in 2015 and \$8 million in 2016

²Includes charges of \$93 million in 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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